RURAL WATER DISTRICT NO. 2
CASS COUNTY, NEBRASKA

STATEMENTS OF NET POSITION
DECEMBER 31, 2025 AND 2024

	2025	2024
ASSETS		
CURRENT ASSETS:		
Cash	$ 310,956	$ 234,085
Certificates of deposit	1,830,242	1,779,798
Accounts receivable	56,474	42,105
Inventory	57,305	66,487
Prepaid expense	12,756	11,026
Lease receivable	2,053	1,999
Total current assets	2,269,786	2,135,500
RESTRICTED ASSETS		
Certificates of deposit - reserve accounts	123,862	118,972
Total restricted assets	123,862	118,972
NON-CURRENT ASSETS		
Lease receivable, non-current	11,922	13,975
Total non-current assets	11,922	13,975
CAPITAL ASSETS		
Property and equipment	5,176,604	5,151,124
Less accumulated depreciation	(3,828,304)	(3,715,421)
Net capital assets	1,348,300	1,435,703
TOTAL ASSETS	$ 3,753,870	$ 3,704,150
LIABILITIES		
CURRENT LIABILITIES:		
Payable from current assets		
Accounts payable	$ 2,864	$ 6,198
Payroll liabilities	13,183	22,460
Accrued interest payable	146	181
Total payable from current assets	16,193	28,839
Payable from restricted assets		
Current amount of long-term debt	2,441	2,337
Total current liabilities	18,634	31,176
Loan payable - USDA	66,692	69,210
Less: current amounts	(2,441)	(2,337)
Total long-term debt	64,251	66,873
TOTAL LIABILITIES	82,885	98,049
DEFERRED INFLOWS OF RESOURCES		
Leases	13,975	15,974
Total deferred inflows of resources	13,975	15,974
NET POSITION		
Net investment in capital assets	1,281,608	1,366,494
Restricted for debt service	123,862	118,972
Unrestricted	2,251,540	2,104,661
TOTAL NET POSITION	$ 3,657,010	$ 3,590,127

See accompanying notes to financial statements.

RURAL WATER DISTRICT NO. 2
CASS COUNTY, NEBRASKA

STATEMENTS OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024

	2025	2024
OPERATING REVENUES		
Users fees	$ 719,975	$ 738,261
Miscellaneous income	4,306	5,500
Total operating revenues	724,281	743,761
OPERATING EXPENSES		
Depreciation expense	112,883	122,462
Wages, benefits and payroll taxes	263,294	261,495
Insurance and bond	53,840	48,479
Utilities and telephone	41,881	41,492
Sales tax	1,739	3,246
Vehicle expense	25,314	26,399
Office supplies and postage	17,164	21,648
Professional fees	56,668	51,085
Directors	11,749	11,756
Miscellaneous	5,243	4,436
Contract labor	1,186	1,294
Operating supplies and repairs	173,705	169,346
Water tests and lab fees	1,808	1,007
Total operating expenses	766,474	764,145
OPERATING (LOSS)	(42,193)	(20,384)
OTHER REVENUE (EXPENSE)		
Hookup fees	27,915	20,435
Interest income	83,911	81,434
Interest expense	(2,750)	(3,387)
Amortization of bond discount	-	-
Total other revenue	109,076	98,482
CHANGE IN NET POSITION	66,883	78,098
NET POSITION, beginning of year	3,590,127	3,512,029
NET POSITION, end of year	$ 3,657,010	$ 3,590,127

See accompanying notes to financial statements.

RURAL WATER DISTRICT NO. 2
CASS COUNTY, NEBRASKA

STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024

	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash received from customers	$ 708,919	$ 739,818
Other receipts	4,306	5,500
Cash payments to employees	(254,017)	(263,679)
Cash payments for other operating expenditures	(408,046)	(377,714)
Net cash provided by operating activities	51,162	103,925
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES		
Payments for capital assets	(25,480)	(107,249)
Loan principal paid	(2,517)	(1,916)
Interest paid	(2,785)	(3,387)
Hookup fees	27,915	20,435
Net cash used in capital and related financing activities	(2,867)	(92,117)
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase (redemption) of certificates of deposit	(55,335)	(330,064)
Interest received	83,911	81,434
Net cash used in investing activities	28,576	(248,630)
NET INCREASE/(DECREASE) IN CASH	76,871	(236,822)
CASH, beginning of year	234,085	470,907
CASH, end of year	$ 310,956	$ 234,085
INTEREST PAID	$ 2,785	$ 3,254

See accompanying notes to financial statements.

RURAL WATER DISTRICT NO. 2
CASS COUNTY, NEBRASKA

STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024

	2025	2024
Reconciliation of Operating Loss to Cash Provided by Operating Activities		
Operating loss	$ (42,193)	$ (20,384)
Adjustments to reconcile operating loss to net cash provided by operating activities:		
Depreciation expense	112,883	122,462
(Increase) decrease in assets:		
Inventory	9,182	(7,342)
Interest receivable	-	1,248
Accounts receivable	(14,369)	5,043
Decrease in inventory		
Prepaid insurance	(1,730)	254
Increase (decrease) in liabilities:		
Accounts payable	(3,334)	460
Payroll liabilities	(9,277)	2,185
Total adjustments	93,355	124,310
Net cash provided by operating activities	$ 51,162	$ 103,926

See accompanying notes to financial statements.